ANSWER KEY & MARKING SCHEME SET 1

Chapter 20: **Globalisation and the Indian Economy (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** MNCs	Money spent to buy assets such as land, buildings, machines
2	**(c)** Tata Motors	Others are Infosys, Ranbaxy and Asian Paints
3	**(d)** enabling services like call centres to be provided across countries	Telecommunication, computers and internet link countries
4	**(b)** whose aim is to liberalise international trade	Its rules are decided by member countries
5	**(b)** batteries, capacitors, plastics, toys, tyres and vegetable oil	They faced competition from cheap imports
6	**(c)** supply goods that are sold under the MNC's brand name	Prices are decided by the MNC
7	**(d)** cheap labour and other resources are available	They aim to cut the cost of production and earn more profit
8	**(b)** owns or controls production in more than one nation	It sets up offices and factories in different countries
9	**(b)** additional investment and the latest technology	Both help production
10	**(c)** high trade barriers	Barriers hinder trade

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	A process that creates opportunities for all (1); Ensures that benefits are shared more fairly (1).	1+1
12	Removal of barriers or restrictions set by the government (1); It was done in India from 1991 (1).	1+1
13	Restrictions on trade by the government (1); Tax on imports or a quota (1).	1+1
14	Rapid integration between countries (1); Through foreign trade and foreign investment by MNCs (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Buy up local companies (1); Set up joint production with local companies (1); Place orders with small producers (1).	1+1+1
16	Access to foreign technology and money (1); Competitive strength and exports (1); Some, like Tata Motors, Infosys and Asian Paints, have become MNCs (1).	1+1+1
17	The local company provides land and knowledge of market (1); The MNC provides technology and money (1); Both share the profits (1).	1+1+1
	OR: Removal of barriers to trade and investment (1); Earlier barriers protected domestic producers (1); Reforms from 1991 opened the economy (1).	1+1+1
18	Consumers, especially in urban areas, get a greater choice of goods (1); The quality of goods has improved (1); Competition among producers has brought lower prices (1).	1+1+1
	OR: Producers can sell in other countries (1); Consumers get more choice (1); Chinese toys in Indian markets (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	It aims to liberalise international trade (1); It makes rules for trade among members (1); Developed countries have a strong influence on it (1); Developing countries raise concerns about unfair rules (1); Many argue that rules should be made fair (1).	1+1+1+1+1
	OR: Opportunities for all (1); Protects workers' rights through labour laws (1); Support to small producers (1); Negotiating fair rules at WTO (1); Alliance among developing countries (1).	1+1+1+1+1
20	Foreign trade connects markets (1); Producers sell abroad and consumers get choice (1); Foreign investment by MNCs builds factories (1); Together they integrate markets (1); This is globalisation (1).	1+1+1+1+1

	OR: Rapid improvement in transport technology has made it cheaper to move goods (1); Information and communication technology has linked countries (1); Liberalisation of foreign trade and investment removed barriers (1); The WTO has pressed countries to liberalise trade (1); MNCs have spread production across countries (1).	1+1+1+1+1

Mistakes to avoid:

- Defining an MNC as any big company; an MNC is one that **owns or controls production in more than one nation**.
- Mixing up **foreign trade** (buying and selling goods across borders) with **foreign investment** (money spent on assets by an MNC in another country).
- Writing that liberalisation means **adding** trade barriers; it means **removing** barriers or restrictions, as India did from about 1991.
- Saying globalisation benefited everyone equally; the chapter shows gains for consumers and some producers but stress for **small producers and workers**.
- Listing only trade as the link between countries: also **investment, technology and the movement of people**.
- Thinking that trade barriers are always bad or only developing countries use them: developed countries also kept them, and the WTO's rules are **not applied fairly**.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 20: **Globalisation and the Indian Economy (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** technology and transport	Production is spread across locations
2	**(c)** 1991	After this, India opened its economy
3	**(d)** five years	A benefit given by the government
4	**(b)** buy up local companies	Another is to set up production jointly with local companies
5	**(b)** Parakh Foods	Parakh Foods had built a name for its brand of oil
6	**(c)** ensure labour laws are properly implemented	Workers must get their rights
7	**(d)** to protect domestic producers from foreign competition	Imports were allowed only for essentials like machinery, fertilisers and petroleum
8	**(a)** of the availability of cheap and skilled labour and a good port	It could export cars from there
9	**(a)** a limit on the number of goods that can be imported	A form of trade barrier
10	**(c)** foreign trade and foreign investment	Trade and investment link markets

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Investment made by MNCs in assets like land, buildings and machines (1); Made in a foreign country (1).	1+1
12	An area with world-class facilities like electricity, water, roads (1); Tax benefits for an initial five years (1).	1+1
13	A company that owns or controls production in more than one nation (1); It sets up factories and offices where cost is low (1).	1+1
14	An organisation that aims to liberalise international trade (1); Its rules are made by member countries (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Availability of cheap and skilled labour (1); Port facilities for exports (1); A large market and engineering base (1).	1+1+1
16	Faster, cheaper transport through containers (1); ICT: telecom, computers, internet (1); Services can be delivered across countries (1).	1+1+1
17	Cell phones and automobiles (1); Electronics and soft drinks (1); Fast food and banking (1).	1+1+1
	OR: It means globalisation that creates opportunities for all (1); It protects the interests of small producers and workers (1); It needs suitable policies of the government (1).	1+1+1
18	Jobs became less secure as firms hire temporary workers (1); Flexible labour policies (1); Wages and working conditions deteriorated for many (1).	1+1+1
	OR: Aims to liberalise international trade (1); Sets rules for trade among members (1); Monitors that countries follow rules (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	They face competition from cheap imports (1); Industries such as batteries, capacitors, plastics, toys, tyres, dairy products and vegetable oil were affected (1); Many units had to close down (1); Workers lost their jobs (1); They need support from the government (1).	1+1+1+1+1
	OR: MNCs buy up or jointly produce with local firms (1); Local firms supply parts and goods (1); MNCs bring technology and money (1); Large MNCs place orders with small producers (1); The MNC controls brand and prices (1).	1+1+1+1+1
20	Removal of barriers set by the government (1); After independence barriers protected domestic producers (1); In 1991 the government began removing them (1); More competition and technology (1); India became integrated with the world economy (1).	1+1+1+1+1

	OR: World-class facilities such as electricity and roads (1); Tax exemption for an initial five years (1); To attract foreign investment (1); Flexible labour laws are allowed (1); Raises employment and exports (1).	1+1+1+1+1

Mistakes to avoid:

- Defining an MNC as any big company; an MNC is one that **owns or controls production in more than one nation**.
- Mixing up **foreign trade** (buying and selling goods across borders) with **foreign investment** (money spent on assets by an MNC in another country).
- Writing that liberalisation means **adding** trade barriers; it means **removing** barriers or restrictions, as India did from about 1991.
- Saying globalisation benefited everyone equally; the chapter shows gains for consumers and some producers but stress for **small producers and workers**.
- Listing only trade as the link between countries: also **investment, technology and the movement of people**.
- Thinking that trade barriers are always bad or only developing countries use them: developed countries also kept them, and the WTO's rules are **not applied fairly**.

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 20: **Globalisation and the Indian Economy (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(b)** attract foreign investment with world-class facilities	They have electricity, water, roads, transport and storage
2	**(d)** globalisation	Foreign trade and investment link markets
3	**(b)** import goods and export goods	Barriers were removed
4	**(b)** greater choice and lower prices	Better quality goods are available
5	**(a)** trade barriers (tariffs)	They are used to restrict imports
6	**(c)** exchange of goods and services between countries, while foreign investment is money spent on assets in another country	Trade links markets; investment builds assets
7	**(c)** developed countries	Developing countries argue the rules are unfair
8	**(a)** creating opportunities for all and ensuring benefits are shared better	Government policies must protect all, especially small producers and workers
9	**(b)** reach beyond the domestic markets	Producers can sell in markets of other countries
10	**(d)** making goods reach distant markets at lower cost	Containers reduce costs

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	To get cheap labour and resources (1); To be near markets and reduce costs (1).	1+1
12	Exchange of goods and services between countries (1); It connects markets of different countries (1).	1+1
13	Buying up local companies (1); Joint production with local companies, or placing orders with small producers (any one) (1).	1+1
14	Technology (1); Liberalisation of foreign trade and investment policy (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Implement labour laws (1); Support small producers with technology and credit (1); Negotiate fair rules at the WTO (1).	1+1+1
16	Started at the initiative of developed countries (1); Developed countries have retained their trade barriers (1); Developing countries are asked to remove theirs (1).	1+1+1
17	By using better technology (1); By improving quality, with support of credit (1); By getting help from the government (1).	1+1+1
	OR: Zones with world-class facilities (1); No taxes for the first five years (1); Flexible labour laws (1).	1+1+1
18	Competition from cheap imports (1); Poor technology and lack of capital (1); Many units closed and workers lost jobs (1).	1+1+1
	OR: Tax on imports (1); Quotas on number of goods (1); Both limit imports and protect domestic producers (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Consumers: choice, quality, lower prices (1); Large producers: gain through technology and capital (1); Small producers: hurt by competition (1); Workers: jobs become less secure (1); Benefits are uneven (1).	1+1+1+1+1
	OR: An MNC owns or controls production in more than one nation (1); It sets up production units where costs are low (1); It may buy up local companies (1); It may set up joint production with local companies (1); It may place orders with small producers who supply under its brand (1).	1+1+1+1+1
20	Chose Chennai for cheap and skilled labour and port (1); Joint production with local firms is another route for MNCs (1); Brought money and technology (1); Exports small cars (1); Illustrates integration with global markets (1).	1+1+1+1+1

	OR: They have greater access to foreign technology (1); They have access to capital and bigger markets (1); Some, such as Tata Motors, Infosys, Ranbaxy and Asian Paints, have become MNCs (1); Some supply goods to global companies (1); Services such as IT have increased exports (1).	1+1+1+1+1

Mistakes to avoid:

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